

SOBHA Limited

Concall Tracker · Filed under Q1 2027 · Coverage through Q4 FY26 call (5 May 2026) · Prepared 24 Jul 2026

1. Snapshot

What the business does: SOBHA is one of India's larger listed real-estate developers, best known for premium apartments and villas in Bengaluru, and increasingly in the Delhi-NCR region (Gurgaon and Greater Noida), Kerala and other cities. It makes money by buying land, building and selling homes, and it is unusual in owning a *backward-integrated* manufacturing arm (it makes its own doors, windows, joinery, concrete, metal and interior fit-outs) plus a smaller contracting/retail business, which it uses to control quality and cost of its own projects.

Metric	Value	Plain-English read
Market cap	₹14,574 cr	Total value the market puts on the company's equity.
Share price	₹1,362 (52-wk ₹1,130–1,732)	Trading in the middle of its one-year range.
FY26 pre-sales (bookings)	₹8,136 cr	Value of homes <i>sold</i> during FY26 — an all-time high, up ~30% on FY25. This is the number that matters most for a developer.
FY26 reported revenue	~₹5,384 cr	Sales actually <i>booked into the P&L</i> once projects are handed over — far below pre-sales because Sobha only recognises revenue on completion (see the trigger).
FY26 reported net profit	~₹193–301 cr	Company stated ~₹193 cr on the call; Screener shows ~₹301 cr (up sharply from ₹112 cr in FY25). Either way, reported profit is small versus the size of sales — the P&L lags the real business.
Operating margin (FY26)	~8%	Thin on <i>reported</i> numbers, because low-margin already-recognised projects dominate the P&L today; the unrecognised backlog carries ~30% project margins.
Net debt	Net cash ~₹800 cr	Gross debt ₹1,002 cr vs cash ₹1,802 cr — the company now has more cash than debt after years of deleveraging and a FY25 rights issue.
P/E ratio	46.5x	Looks expensive on today's small reported profit — the market is paying up for the earnings the backlog is expected to unlock.
ROE / ROCE	6.6% / 9.5%	Returns are modest for now, again depressed by the reporting lag between selling and booking profit.

2. Concall coverage

This is Sobha's first report in this tracker (no prior-quarter report exists), so all recent calls were read fresh. The scraper pulled 33 transcripts back to 2018; the analysis focuses on the **last ~3 years (FY24–FY26)**, deep-reading the most recent calls in full.

Quarter	Call date	Read?
Q4 FY26 (year ended Mar 2026)	5 May 2026	Yes — deep-read in full (latest)
Q3 FY26	16 Jan 2026	Yes — deep-read
Q1 FY26	26 Jul 2025	Yes — deep-read
Q3 FY25	7 Feb 2025	Yes — read for backstory
Q4 FY24 (year ended Mar 2024)	17 May 2024	Yes — read for backstory
Earlier calls (FY18–FY24)	2018–2024	Available (33 total); skimmed for the long-run debt-reduction trend

Note: the latest available transcript is the Q4 FY26 call (May 2026). The Q1 FY27 (Jun-2026 quarter) earnings call had not yet been held/published as of this report, so Q4 FY26 is the freshest signal.

Latest concall highlights — Q4 FY26 (call held 5 May 2026)

- **Record year, confirmed:** FY26 pre-sales hit an all-time high of **₹8,136 cr** (up ~30%), at an average price of ₹14,675/sq ft (up 9.4%). Plain read: Sobha sold more homes, at higher prices, than ever before.
- **Balance sheet turned net-cash:** gross debt ₹1,002 cr vs cash ₹1,802 cr → **net cash of ~₹800 cr**. Plain read: after years of cutting debt plus a FY25 rights issue, the company can now fund land and construction from its own cash.
- **Profit finally starting to show:** Q4 revenue ₹2,030 cr, EBITDA ₹194 cr, PAT ₹92 cr — a big jump versus the weak first nine months, as delayed occupancy certificates (the government sign-off needed to book revenue) finally came through. Plain read: the long-promised margin recovery began in Q4.
- **Big launch pipeline for FY27:** plans to launch **>10 million sq ft** (GDV ~₹15,000 cr) across Bangalore, Gurgaon, Hyderabad, Thrissur and Pune — headlined by the Hoskote township (5.3 mn sq ft, ~₹7,000 cr). New Gurgaon (Crescent, ~50% sold, ~₹1,100 cr) and Greater Noida (Rivana, ~25% sold, ~₹500 cr) launches already selling well.
- **Guidance & tone:** targets ~30% pre-sales growth again in FY27 and ~₹2,000 cr net operating cash flow; expects reported margins to step up meaningfully in H2 FY27. Tone: confident, but candid that some launches slipped and macro/AI-hiring worries around Bengaluru IT demand are being watched.

2c. Business mix & capacity

Geographic mix (FY26 pre-sales)

Real estate is a domestic business (no exports); Kerala demand is partly NRI/Middle-East buyers.

Bangalore ~₹4,500 cr (~55%) · NCR ~₹2,450 cr (~30%, highest ever) · Kerala ~₹800 cr (~10%) · Other ~₹400 cr (~5%). Bangalore + NCR = ~85%.

Plain read: still Bengaluru-led, but NCR (Gurgaon + Greater Noida) has grown into a genuine second engine.

Pipeline & "capacity"

For a developer, the analogue of capacity is the launch pipeline. Sobha has **~20.7 mn sq ft** ready to launch over the next 6–8 quarters (~2 years of visibility) and plans >10 mn sq ft in FY27 alone.

Unrecognised revenue: ₹18,647 cr already-sold but not-yet-booked — the pool that feeds future P&L.

Plain read: plenty of headroom to keep growing sales and reported profit without needing new land first.

3. Earning-trigger thesis ★

The core trigger is a **reported-profit catch-up**. Sobha books revenue only when a project is *completed* and handed over, not as it sells and collects cash. That has opened a large gap between the real business (record pre-sales of ₹8,136 cr and collections of ~₹7,800 cr in FY26) and the thin numbers in the P&L. Sitting behind the P&L is **₹18,647 cr of already-sold-but-unrecognised revenue carrying ~30% project-level margins**. As projects hit completion, that backlog mechanically converts into reported revenue and profit — management flags 24–26%+ margins on projects finishing over the next 12 months, versus the ~12% on recently-recognised ones. Funding is no longer a worry: the company is net-cash after deleveraging and a FY25 rights issue, so growth is largely self-financed. The trigger has already *started* to show — FY26 reported profit jumped sharply and Q4 was the strongest quarter of the year.

Trigger	What management said	Evidence so far	Horizon	Strength
Backlog converting to reported profit	₹18,647 cr unrecognised revenue at ~30% margin; completions to lift reported margins to 24–26%+	Q4 FY26 EBITDA ₹194 cr / PAT ₹92 cr — visibly stronger; FY26 profit up sharply YoY	H2 FY27 onward, multi-year	Strong — contracted backlog + collections make it a "when, not if"

Record pre-sales momentum	~30% growth guided for FY27, similar to FY26	3 straight years of all-time-high pre-sales (FY24 +28%, FY26 +30%)	Ongoing	Strong — consistently delivered
NCR / new-city expansion	Gurgaon + Greater Noida scaling; Hoskote mega-township (₹7,000 cr GDV)	NCR ~₹2,450 cr in FY26 (highest ever, ~30% of sales); new launches selling 25–50% at/near launch	FY27–FY28	Moderate — promising and diversifying, but newer markets still to prove depth
Deleveraging / self-funding	Sustained debt reduction; disciplined capital allocation	Net-cash ~₹800 cr (from net debt-to-equity 0.66 a few years ago); 14+ quarters of debt cuts	Achieved	Strong — delivered and over-delivered

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 (May 2024)	~28% pre-sales growth, keep cutting debt, ~9 mn sq ft launches in FY25	Pre-sales ₹6,644 cr (record); 14th straight quarter of debt reduction	Delivered
FY25 (Feb 2025)	Expand to Greater Noida/Hosur/Mumbai; unrecognised revenue ~₹15,000 cr at ~28% margin to unlock profit	Greater Noida & Gurgaon scaled fast; rights issue + deleveraging took balance sheet toward net-cash; backlog grew	Delivered
Q1 FY26 (Jul 2025)	Margin improvement "starting this quarter"	Missed — occupancy-certificate (OC) delays in 5 Bangalore projects held back ~₹650 cr of revenue; margins stayed thin	Missed (timing)
Q3 FY26 (Jan 2026)	Margins to ramp as completions accelerate	Again delayed — OC not received on 3 projects, ~₹500 cr revenue pushed out; profit stayed low	Missed (timing)
FY26 launches	~8.5–9 mn sq ft of launches planned	Only 6.04 mn sq ft launched — "some launches delayed"	Partly
Q4 FY26 (May 2026)	Margin recovery + ₹8,500 cr pre-sales target	FY26 pre-sales ₹8,136 cr (~30%); Q4 profit stepped up as delayed OCs came through	Delivered / Too-early on full margin ramp

Narrative drift: The *strategic* story has been remarkably steady for three years — grow pre-sales at ~30%, expand beyond Bengaluru, cut debt, and let a big unrecognised-revenue backlog eventually flow into profits. On pre-sales, collections and deleveraging, management has consistently done what it said (and turned net-cash, better than promised). The one clear, repeated wobble is **timing**: the reported-margin recovery has been promised "this quarter / next quarter" for several quarters and slipped each time on occupancy-certificate delays, and annual launch targets are routinely missed by a margin. These look like procedural/execution-timing slips rather than a broken thesis — Q4 FY26 showed the recovery finally arriving — but they are real and worth watching.

5. Bottom line

Durable earning trigger? → YES

There is a concrete, contracted, still-live driver: a ₹18,647 cr backlog of already-sold homes at ~30% project margins that must convert into reported revenue and profit as projects complete, financed by a now net-cash balance sheet and fed by record, still-growing pre-sales. It is not merely a promise — FY26 reported profit already jumped sharply and Q4 was the strongest quarter, showing the catch-up has begun. The main uncertainty is *pace*, not existence.

Management consistent? → MAYBE

On the big picture management has been genuinely consistent and credible — three straight years of record pre-sales, steady geographic expansion, and a deleveraging drive that went all the way to net-cash. What holds this back from a clean YES is the repeated slippage on the item analysts care about most: the reported-margin recovery has been guided to "this/next quarter" several times and pushed out each time on occupancy-certificate delays, and yearly launch targets are consistently missed by some margin. The direction and honesty are there; the delivery *timing* keeps disappointing. Watch whether the H2 FY27 margin step-up actually lands and whether FY27 launches finally hit the ~10 mn sq ft goal.

Sources: SOBHA Ltd earnings-call transcripts (Q4 FY24 through Q4 FY26) via Screener.in; Screener financial snapshot tables. This is not investment advice. Do your own due diligence.